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2026 India Economics Outlook

Continued Goldilocks Environment

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Broadening domestic demand should support growth, notwithstanding lingering global uncertainty. Macro stability indicators remain in the comfort zone, giving policymakers enhanced flexibility. Cyclically, policy should remain supportive of growth; structural reforms should enhance productivity.

Growth – domestically fueled engine: We expect the growth trajectory to be supported by broadening of domestic demand, while external demand remains clouded by uncertainty. The confluence of monetary and fiscal policy impulse is likely to facilitate a meaningful pickup in urban consumption, alongside the already robust rural demand. Higher consumption levels, in turn, are likely to lift investor sentiment and propel capacity utilisation rates, to provide a fillip to private capex. As such, we expect investment growth to become broad-based as higher private investment supplements the strength in public and household capex. In this context, we expect GDP growth at 6.5% YoY in F2027-28, driven by domestic demand.

Macro stability to remain benign: We expect headline CPI to edge up in 2026-27 from low levels in 2025 to align with the RBI's medium-term target of 4%. Within CPI, while food prices are likely to be affected partially by a weak base, core inflation is likely to remain well behaved, such that both food and core CPI converge to 4-4.2% YoY. Thus, inflation expectations are likely to remain anchored, which augurs well for consumer sentiment. Similarly, we expect the current account deficit to remain range-bound at/or below the 1% mark and not widen significantly. Moreover, the presence of sufficient macro stability buffers in the form of FX reserves, import cover, and low external debt to GDP keeps the external balance sheet fortified.

Policy response – remain prudent: On monetary policy, we expect the RBI to ease rates 25bp in the Dec-25 policy meeting, with a terminal policy rate of 5.25%, led by continued downside surprises to headline CPI. Thereafter, we expect the RBI to remain data-dependent in 'wait & watch' mode so as to assess the impact of its three-pronged policy easing across rates, liquidity, and regulation, while also evaluating the evolving domestic growth-inflation dynamics. On the fiscal policy front, we expect the government to maintain its fiscal pragmatism, focusing on gradual fiscal consolidation and prioritizing capex.

Risks remain balanced: Risks to our growth outlook remain evenly balanced and are primarily external in nature. On the upside, a stronger-than-anticipated multiplier impact from supportive policy on domestic demand, acceleration in US growth, and a faster resolution of trade-related uncertainty could help improve investor sentiment and push growth higher vs. our base case. Downside risks may come from adverse global growth & trade, exacerbated geopolitical developments, and US policy proposals on the HIRE Act, which may affect India's services exports.

Exhibit 1 : Our Key Macro Forecasts

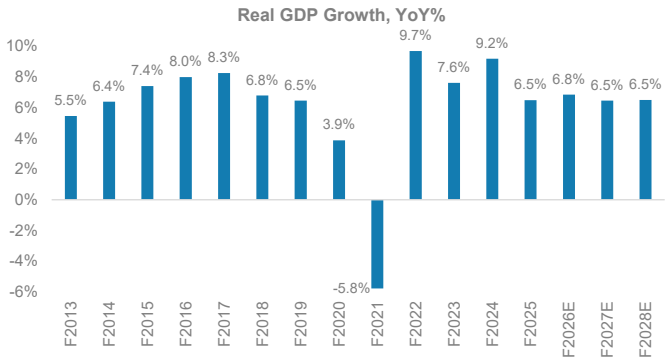
	F2025	F2026E	F2027E	F2028E
GDP, YoY%	6.5%	6.8%	6.5%	6.5%
CPI, YoY%	4.6%	2.2%	4.0%	4.2%
CAD, % of GDP	0.6%	0.9%	1.1%	1.0%
Policy Rate, eop(%)	6.25%	5.25%	5.25%	5.75%

Source: Morgan Stanley Research estimates

For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

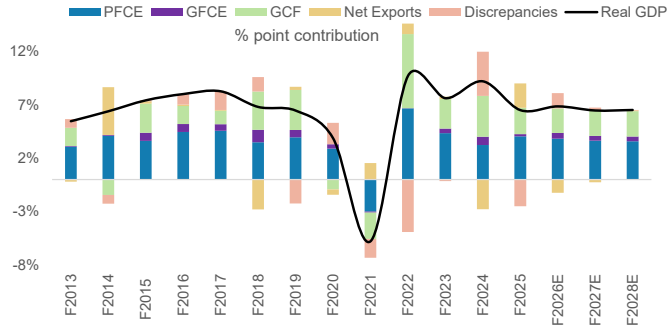
Story in Key Charts

Exhibit 2: We Expect GDP Growth of 6.5% YoY for F2027E-28



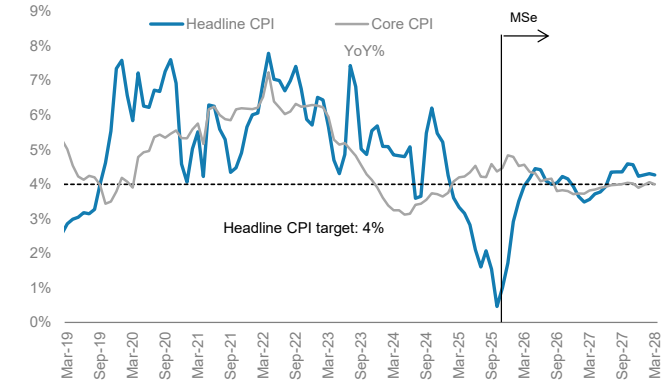
Source: CEIC, Morgan Stanley Research (E) estimates

Exhibit 3: Domestic Demand to Drive Growth



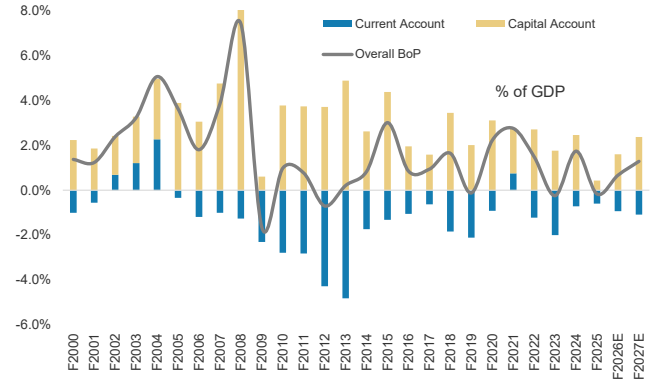
Source: CEIC, Morgan Stanley Research (E) estimates

Exhibit 4: Inflation to Average 4% YoY in F2027E and 4.2% YoY in F2028E



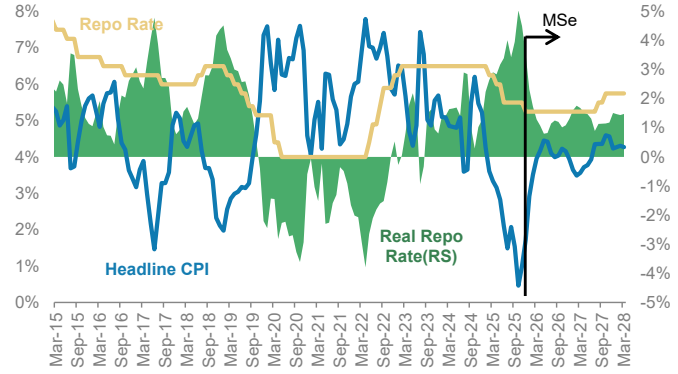
Source: CEIC, Morgan Stanley Research (E) estimates

Exhibit 5: Balance of Payments to Remain in Surplus



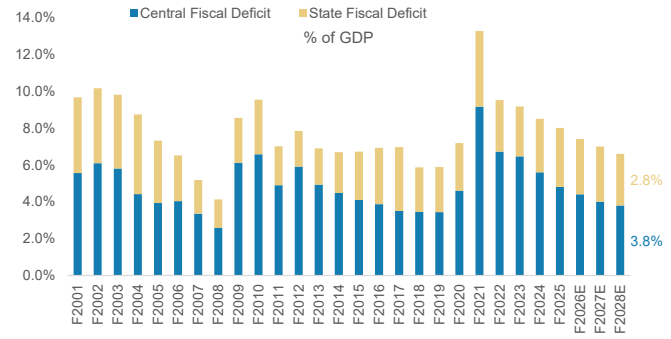
Source: CEIC, Morgan Stanley Research (E) estimates

Exhibit 6: We Expect a 25bps Rate Cut in Dec-25



Source: CEIC, RBI, Morgan Stanley Research (E) estimates

Exhibit 7: Fiscal Discipline to Be Maintained



Source: CEIC, RBI, Budget Documents, Morgan Stanley Research (E) estimates

Key Themes for 2026

#1: When will the nominal growth environment improve?

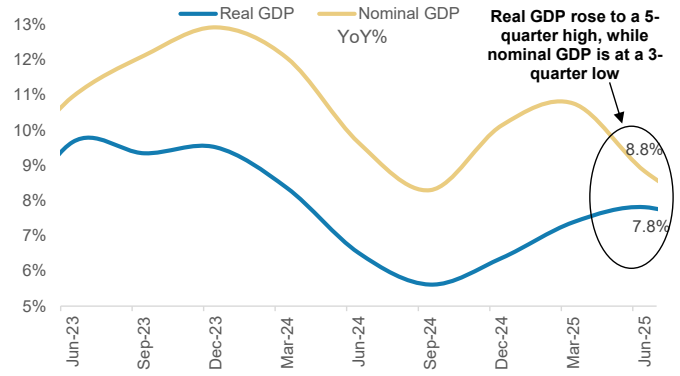
Nominal growth has been on a weakening trend in the last five quarters, primarily led by a softening in the deflator. On a four-quarter trailing basis, nominal GDP growth weakened to 9.5% YoY in QE Jun-25, vs 11.7% in QE Jun-24. At the margin, the trend in nominal growth remains weaker with growth slipping to a three-quarter low of 8.8% YoY in QE Jun-25.

The softer trend in the deflator is reflecting moderation in both CPI and WPI inflation. Indeed, CPI inflation moderated to 1.9% on a FYTD26 (April-October) basis (vs. 4.8% in FYTD25), driven by softer food inflation even as core inflation has remained largely steady. WPI inflation declined a tad by 0.1% on a FYTD26 (Apr-Oct) basis (vs. 2.2% in FYTD25). A combination of a benign trend in global commodity prices (CRB commodity is up ~2.7% YoY on a FYTD basis) and some pressure from Chinese deflation on price trends is leading to a subdued trend in WPI.

Low nominal growth implies that corporate revenue growth too has been on a slowing path over the last four quarters. This has also affected wage growth as companies move to protect margins – BSE 500 employee expense too has been on a softening trend in the last six quarters.

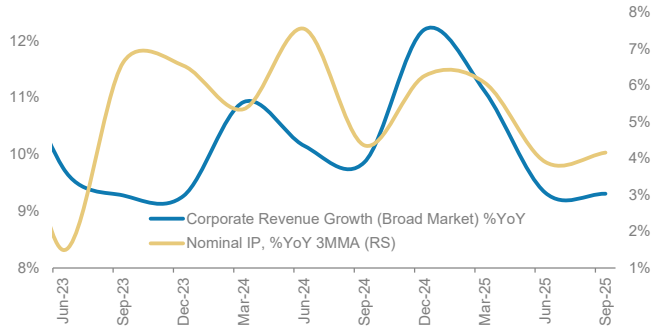
Outlook: The turn in nominal growth will be dependent on a combination of improving deflator and strengthening real demand. Given that we expect the deflator to weaken in QE Sep-25 and remain largely steady at low levels in QE Dec-25, we expect nominal growth to trough in QE Dec-25. Thereafter, as inflation edges up, from a normalising base, the deflator is likely to tick up, providing support for improving nominal growth rates. In our view, the nominal growth is expected to be at 10.6% YoY in F2027, vs. 8% in F2026 and 9.7% in F2025. Moreover, the broadening of domestic demand conditions (elucidated below) and a stabilising global geopolitical and macro backdrop are likely to aid in improving the trend and momentum in real growth rates as well.

Exhibit 8: Real and Nominal GDP, YoY%



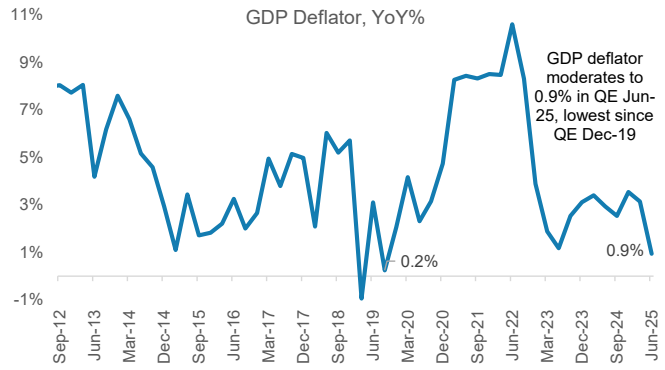
Source: CEIC, Morgan Stanley Research

Exhibit 9: Corporate Revenue Growth vs Nominal IP



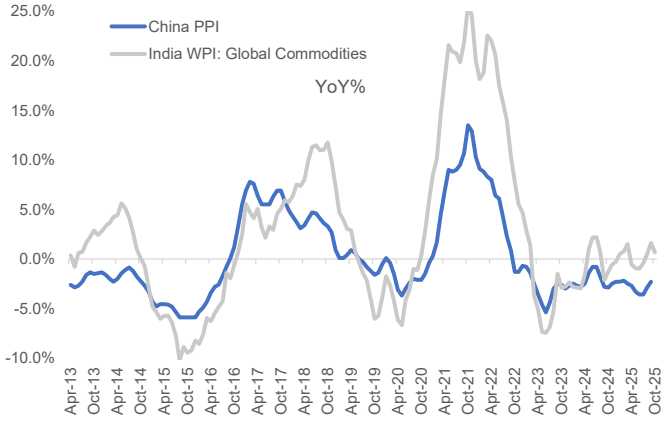
Source: CEIC, Capitaline, Morgan Stanley Research. Note: Corporate Revenue is for 1668 companies.

Exhibit 10: GDP Deflator at a 23-Quarter Low



Source: CEIC, Morgan Stanley Research

Exhibit 11: China PPI vs. India WPI Global Commodities



Source: CEIC, Haver Analytics, Morgan Stanley Research

#2: What are the triggers for consumption to become broad-based?

The recent trend in consumption growth reflects a weaker trend in urban demand, while rural demand has been healthy. A number of headwinds have weighed on urban demand:

- Tighter monetary policy (real rates averaged 1.55% in 2024),
- A weaker job market (Naukri job index declined 1.3% in 2024), and
- Slower wage growth (BSE 500 employee expense grew 6.6% in 2024).

Rural demand was supported by favourable agriculture incomes, driven by buoyant crop output. However, a pivot in monetary and fiscal policy stance is supporting a revival in urban demand, as reflected in recent high-frequency data, such as auto sales growing 25% in the festive period.

Outlook: We anticipate a continued recovery in urban demand and support from rural demand in the next 12 months, driven by:

(a) Monetary policy easing by the RBI across all its levers: The RBI has loosened its grip on monetary policy since early 2025, across rates, liquidity, and macroprudential regulations, to ensure eased financial conditions. This is likely to push retail lending higher, by lowering borrowing costs, and thus support a cyclical recovery in urban demand. Thus far, following the 100bps of rate easing, the transmission of eased policy rates from February-August 2025 has been 106bps on weighted average deposit rates (WADR) and 58bps on weighted average lending rates (WALR).

(b) Fiscal policy impulse via taxation-related reforms: The government has undertaken both direct and indirect tax reforms in an attempt to boost household disposable income. The accumulated savings, arising from income tax cuts (worth Rs1tn) announced in the F2026 Budget, along with GST rate rationalisation, are likely to significantly spur discretionary consumption, particularly among the middle class. The second-order impact of improving business sentiment appears likely to encourage private sector investment activity, which bodes well for the labour market outlook.

(c) Improving real wages amid moderating inflation: The softening trend in inflation, alongside the anchoring of inflation expectations, has facilitated greater purchasing power for both the rural and urban consumer, by improving real wages, and thus commensurately provided a fillip to consumption levels.

(d) Improving labour market outlook: The labour market data is indicative of a pickup in momentum in hiring activity. The Naukri Job index (proxy for organised sector hiring) has shown a recovery, up 3.7% YoY on a CYTD25 basis, vs. -1.3% in CY24. The steady upturn in employment implies higher income levels, which in turn supports consumer spending.

Moreover, the employment demanded under MGNREGS has been consistently moderating and normalizing close to pre-pandemic trends, which supports the narrative of improving employment opportunities.

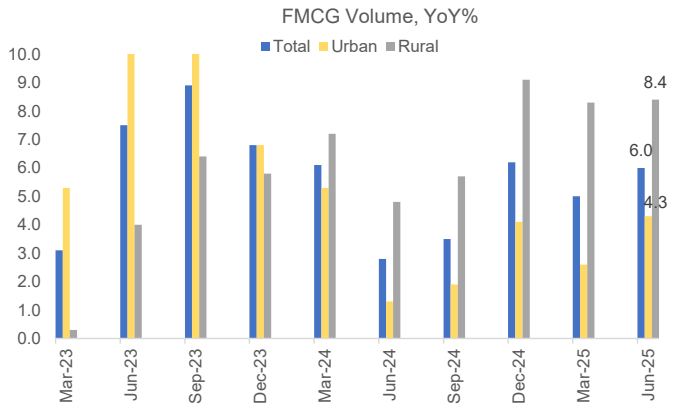
(e) Pay Commission-related boost: The terms of reference and the committee for the 8th Central Pay Commission was announced on October 28, 2025, with recommendations expected *"within 18 months of the date of its constitution."* The revised pay scales and arrears will be retrospective in nature, i.e., will apply starting January 1, 2026. The arrears/

payouts for the months between January 2026 and the date of actual month of implementation will be paid once the new pay scales are approved. While the impact on consumption will be seen only once payout starts (given considerable uncertainty about the quantum of hike), the adjustment of salaries of central government employees (~4.7mn employees and 6mn pensioners) is likely to provide a meaningful near-term boost to consumption.

(f) Rural demand to remain healthy: In 2024, overall consumption was steered primarily by rural demand, buoyed by favourable weather conditions that ensured record summer and winter crop output at 354mn tonnes (up 6.5% YoY). The resilience in summer crop sowing has continued in 2025 amid surplus rainfall (108% of LPA), which also led to healthy reservoir levels and soil moisture conditions, which augurs well for the ongoing winter crop sowing and yields. Moreover, lower inflation improves real rural wages and purchasing power and also improves the rural terms of trade. Indeed, growth in real rural wages is tracking at 3.1% in CYTD25 vs. 1% in CY24. The confluence of these tailwinds is likely to ensure that farm incomes remain supported, and as such rural demand remains resilient. The latest edition of the RBI's Rural Consumer Confidence Survey highlights improving current and one-year forward perceptions at an aggregate level, driven by a promising employment outlook, softening inflation, and thus higher income levels.

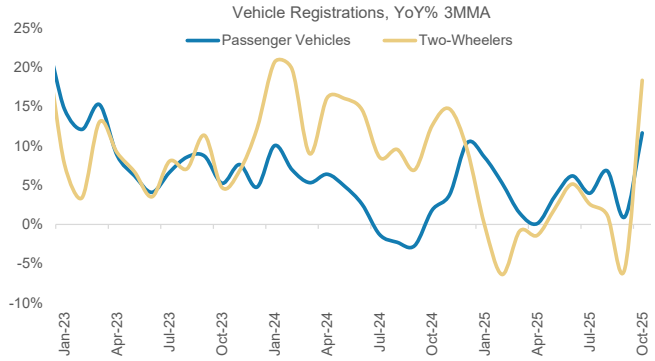
Therefore, following the combined impact of these aforementioned drivers, urban demand is reflecting nascent signs of pickup, which is further buoyed with the ongoing festive and wedding season.

Exhibit 12: Rural FMCG Volumes Growing at a Faster Pace than Urban



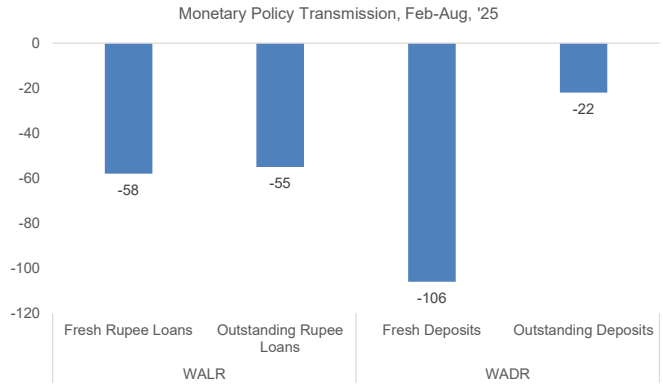
Source: Nielsen, Morgan Stanley Research

Exhibit 13: Trend in Vehicle Registrations/Sales



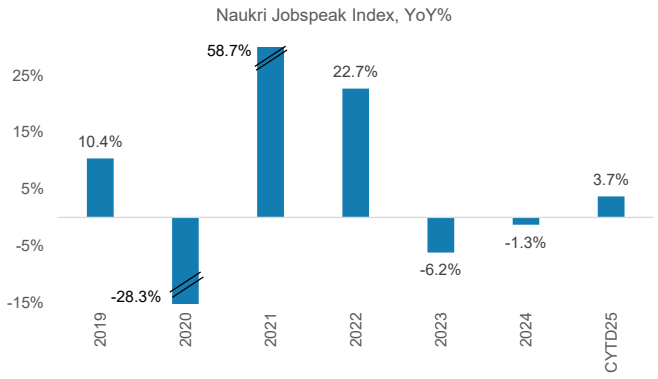
Source: CEIC, Morgan Stanley Research

Exhibit 14: Monetary Policy Transmission amid Easing Rates



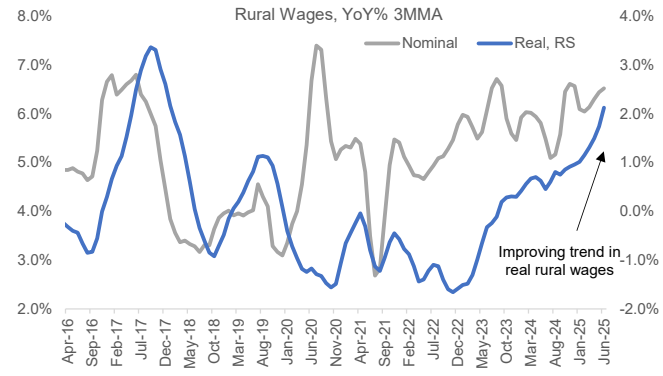
Source: CEIC, RBI, Morgan Stanley Research

Exhibit 15: Improving Labour Market Outlook in CYTD25



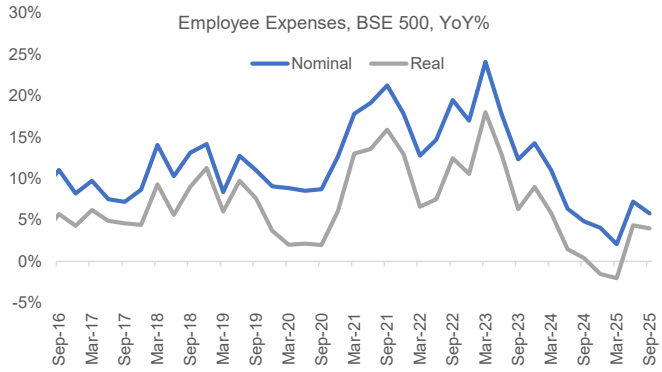
Source: Naukri Jobspeak Index, Morgan Stanley Research

Exhibit 16: Real Rural Wages Improving



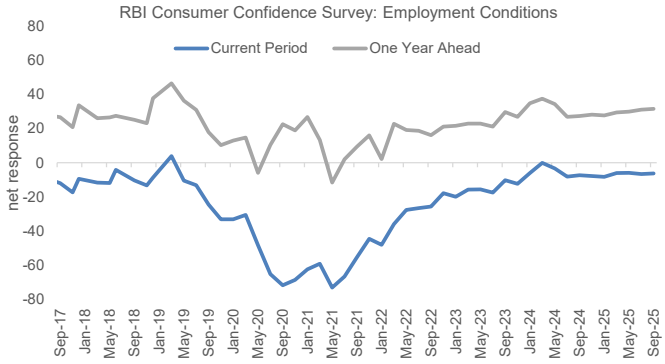
Source: RBI, CEIC, Morgan Stanley Research

Exhibit 17: Urban Employee Expenses



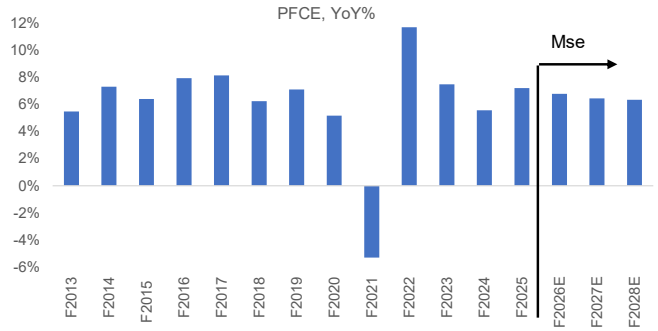
Source: Capitaline, Morgan Stanley Research. Note: QE Sep-25 is based on a smaller BSE 500 sample.

Exhibit 18: Consumer Confidence in Employment Conditions Improving at the Margin



Source: RBI, Morgan Stanley Research

Exhibit 19: We Expect Consumption Growth to Remain Resilient



Source: CEIC, Morgan Stanley Research (E) estimates

#3: Is the capex cycle getting more broad-based?

Post-pandemic capex momentum has been led by the combined strength in public and household capex even as private capex pickup has been gradual.

(A) Public capex to remain robust: In FYTD26 (April-September), the government has thus far carried out heavy lifting on the capex front, by front-loading its expenditure, as it spent INR 5.8tn (51.8% of the budgeted target) in 1HF26. The average monthly capex run rate stands at INR 968bn on a FYTD basis, vs. INR 692bn in the corresponding period last year. As a share of GDP, it is tracking at 3.4% in FYTD26 (vs. 2.6% in FYTD25). About 54% of the capital spending has been directed to roads and railways. As such, we expect the pace of spending to moderate (relative to last year's levels) in the remaining months of the current fiscal year, in line with the budgeted target for F2026.

Outlook: We expect the government will retain its emphasis on supporting capex through higher outlays for physical and social infrastructure, maintaining a growth rate above nominal GDP in the next two years. As such, we expect a steady expansion in public capex as a percentage of GDP. Within public capex, we remain watchful of the trend in capex by state governments (which account for ~43% of total public capex) given stress on states' fiscal balances from rising revenue expenditure and slowdown in revenues.

(B) Household capex benefits from cyclical and structural positive factors: Household capex, which accounts for approximately 40.6% of total capex, is likely going through a mid-cycle consolidation, as echoed in the moderating trend across both new sales and launches on an absolute basis, even as the growth trends have likely bottomed out, with nascent signs of improvement in QE Sep-25 data.

Outlook: Favourable cyclical factors (improved housing affordability, easier financial conditions) and structural factors (rising urbanization, support for affordable housing, increasing nuclearization of families), are likely to ensure that the household capex momentum continues in the coming years.

(C) Private capex pickup gaining some strength after a gradual start: The third constituent of overall capex – i.e, private corporate capex – in contrast, has remained subdued, owin to weak investor sentiment affected by global uncertainty, deflationary pressures from China, and soft aggregate demand conditions domestically. While capacity utilization rates in manufacturing sector are lingering around 74-77.7% over the last 12 months, the trend has improved vs. the 10-year average of 71.8%. Having said that, we see signs of pickup in private investments in certain sectors which are supported either by robust demand (public capex, real estate up-cycle) and/or fiscal support (PLI scheme, favourable policy environment). Indeed, a recent study by the RBI leveraging project finance data outlines a potential upturn in capex to INR 2.7tn in F2026, from INR 2.2tn in F2025. Similarly, data from investment monitoring firm Projects Today indicated a rebound in private investments in 2QF26, as the value of new investments from private promoters nearly doubled to INR 10.6tn, across 1800 projects, from INR 5.7tn in the year prior

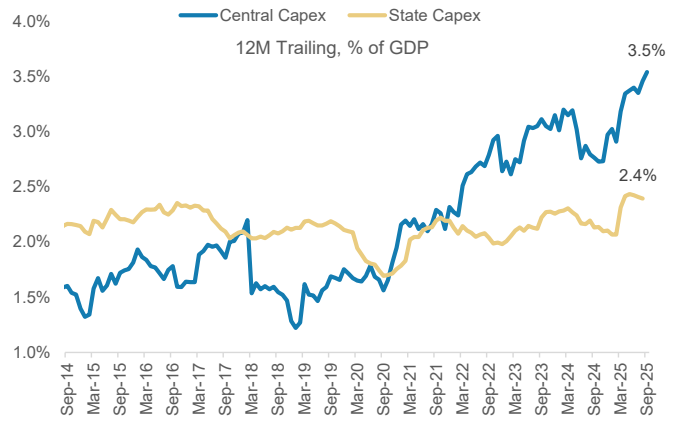
Outlook: The private capex cycle, in our view, is at an inflection point, as its recovery gets support from impetus in domestic demand and favourable policy outlook. Clarity on geopolitical conditions will further support supply chain diversification.

The recent policy impetus across both monetary and fiscal policy is likely to improve consumption levels, and concomitantly improve capacity utilisation rates and business sentiment. As such, we expect the scope of private capex to gradually widen in a more meaningful manner. We anticipate a pickup in capex across sectors as sectors already showing signs of a pickup in capex or new announcements are trickling in. These sectors include:

- Clean Energy (Renewables, Grid, Storage),
- Data Centres / Digital Infra,
- Semiconductors (Fabs, ATMP/OSAT),
- Electronics & Devices (PLI-led),
- EVs & Batteries,
- Warehousing & Industrial Real Estate,
- Transport Infra (Airports, Ports, Roads), and
- Healthcare (Hospitals, PE).

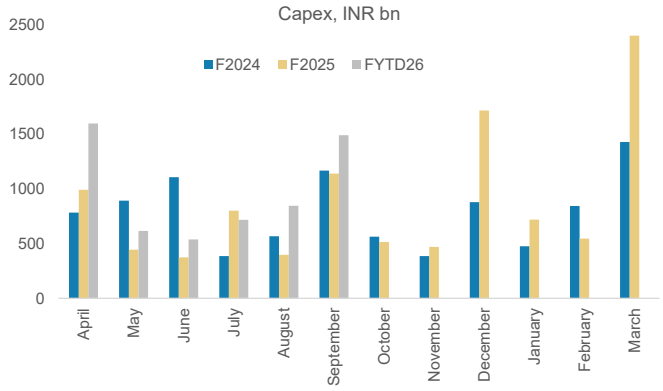
Overall capex outlook: The capex cycle is likely to show broad-based expansion driven by a healthy trend in public capex, expanding household capex and likely strength in private capex. Further, an improving trend in overall productivity is likely to supplement the upturn in credit offtake and capacity utilisation, amid strong corporate and financial sector balance sheets. We expect these favourable fundamentals to drive the next leg of the capex up-cycle, even as the peak is likely to be lower than the F2004-08 cycle.

Exhibit 20: Centre and State Capex, 12m trailing % of GDP



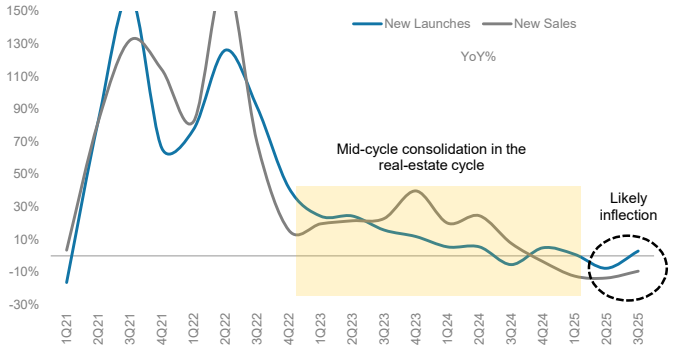
Source: CEIC, Morgan Stanley Research

Exhibit 21: Centre's Capex Momentum Remains Healthy



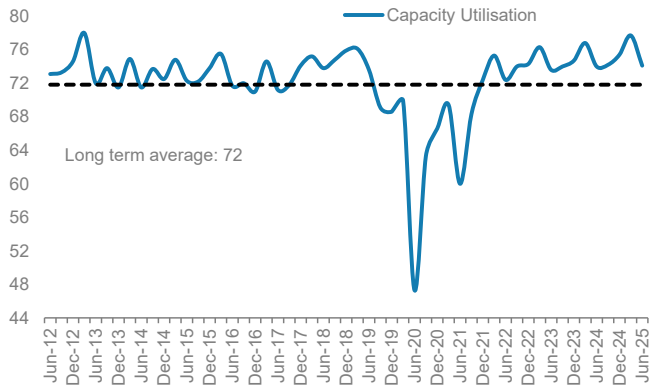
Source: CEIC, Morgan Stanley Research

Exhibit 22: New Sales and Launches Have Likely Troughed



Source: JLL, Morgan Stanley Research

Exhibit 23: Capacity Utilisation Remains above Long-term Average



Source: Haver Analytics, Morgan Stanley Research

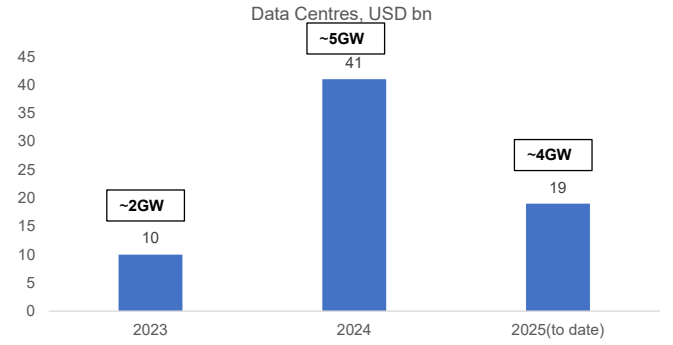
Exhibit 24:

Tracking Private Capex by Sector Since 2023

Sector	Cumulative Capex (USD bn)	Key Companies	Representative Projects
Infrastructure	72–80	L&T, Adani, GMR, Reliance Infra	Navi Mumbai Airport, Coastal Road, Bangalore Metro
Energy (Renewables & Traditional)	48–56	Adani Green, Tata Power, ReNew, Reliance	Khavda RE Park, Pavagada Solar, Jamnagar Green Hydrogen
Semiconductors	32–35	Micron, Vedanta-Foxconn, Tata Electronics	Micron Sanand, Vedanta-Foxconn Dholera, Tata Hosur
Data Centres	7–9	AdaniConneX, NTT, CtrlS, Reliance, Yotta, Airtel	AdaniConneX Chennai/Noida, NTT Mumbai, Yotta NM1
Electronics (Mobiles & Devices)	9–11	Foxconn, Apple, Samsung, Dixon, Lava, Tata Electronics	Foxconn Bengaluru, Samsung Noida, Dixon Electronics Park
Automobile & Components	18–20	Tata Motors, Mahindra, Maruti, Hyundai, Bharat Forge	Tata EV Gujarat, Mahindra EV, Maruti Kharkhoda
Pharma & Healthcare	12–14	Sun Pharma, Dr. Reddy's, Cipla, Apollo, Fortis	Sun Gujarat Hub, Dr. Reddy's Biologics, Apollo Digital
Real Estate	22–24	DLF, Godrej, Prestige, Oberoi	DLF Cyber City, Godrej Woods, Prestige Falcon City
Defense	8–10	Tata Advanced, L&T Defense, Bharat Forge, Adani, Mahindra	TASL Aerospace Park, L&T Shipyard, Bharat Forge Armored Vehicles

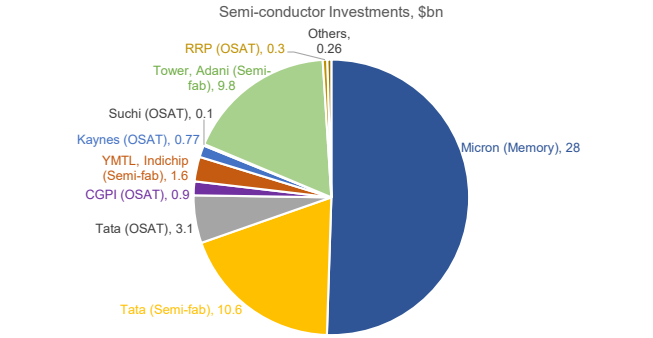
Source: Company data, media reports and newsflow (e.g., Economic Times, Business Standard), Morgan Stanley Research

Exhibit 25: 4GW Worth of Data Centres Announced in CYTD25



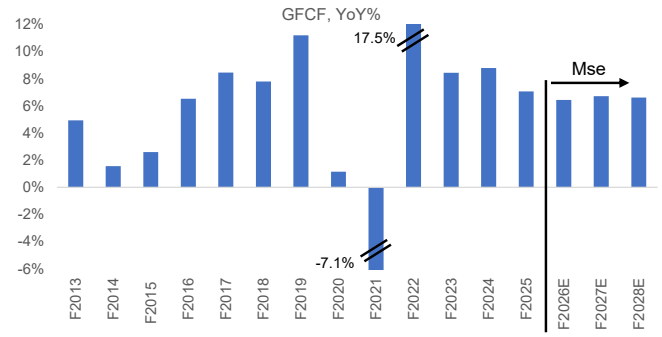
Source: Company data, media reports, Morgan Stanley Research

Exhibit 26: Semiconductor Investments >US$50bn Announced Since 2023



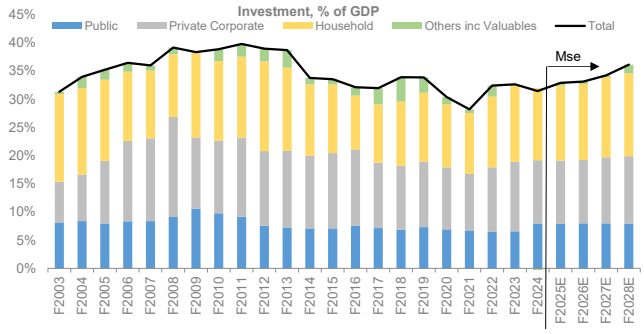
Source: Company data, media reports, Morgan Stanley Research

Exhibit 27: We Expect Capex Growth to Get More Broad-Based



Source: CEIC, Morgan Stanley Research, Morgan Stanley Research Estimates

Exhibit 28: Private Sector Capex to Pick Up Pace



Source: CEIC, RBI, Morgan Stanley Research, Morgan Stanley Research Estimates

#4: Is external demand likely to be a headwind to growth?

India's goods and services exports comprise about a fifth of the nation's GDP. Within exports, goods exports stood at US$437bn (13.2% of GDP) and services exports touched US$263bn (9% of GDP) in F2025. The trend in exports tends to influence domestic production and capex cycles, and to that extent remains a significant growth engine.

Volatile trend In goods exports, with marginal trend showing improvement: Goods exports have remained weak, growing a meagre 0.9% YoY in CYTD25 vs. 2.8% in CY24. However, at the margin the trend has improved with exports growth at 9% in QE Sep-25 vs. -6.8% in QE Sep-24. The moderation is largely broad-based with continued contraction in oil exports (-18.1% in CYTD25 vs -16% in CY24) and somewhat weaker trend in non-oil exports (5.4% in CYTD25 vs. 7.7% in CY24). While electronic exports have been an outlier, growing 42.9%in CYTD25 vs. 28.4% in CY24, non-oil non-electronic exports remain lacklustre. Indeed, per data from IDC, Apple's quarterly shipments rose to an all-time high in QE Sep-25, as it touched 5 mn units.(see Economic Times, Nov-25). A sluggish trend in goods exports also corroborates the lacklustre trend in India's market share in global goods exports tracking at 1.9% vs. 1.7% pre-pandemic.

Impact of higher US tariff – early reads: The 50% tariffs on India, came into effect on 27 August, and are higher than those on most other competing nations. As such, they expose India to price disadvantages, making its exports less competitive relative to peers, especially for products with price elasticity greater than one, shifting demand to other countries.

To be sure, India's direct exposure to the US in terms of goods exports remains low at US $86.5bn (2.2% of GDP) in F2025. Within the total basket of exports to the US, ~55% of exports are likely to be affected by the cumulative 50% tariffs, with the most pronounced implications for labour-intensive goods such as textiles and leather, and agri products such as marine products.

The early months of the current fiscal year displayed front-loading of exports to the US, ahead of the tariffs, especially for goods such as drugs and pharma, ready- made garments, autos, etc. However, over the last couple of months, the sequential decline in exports to the US has gained further pace, falling 20% MoM in September, vs. -14% in August, as tariffs hit. Similarly, the segments affected by the tariffs with highest exposure to US markets are textiles, leather-related products, and gems & jewelry, which showed a moderation or decline in exports in September and August.

Nascent signs of export market diversification are evident as exports to Bangladesh, the UAE, HK, Saudi Arabia, and South Korea rose on a MoM basis in August/September. Further, the depreciation of the rupee (CYTD REER has declined 8.7%) is likely to provide another offset.

Services exports exhibit some moderation in growth: Gross services exports remain largely stead,y growing at ~11% in CYTD25, similar to CY24. However, at the margin the pace of growth has moderated, tracking at 8.6% in QE Sep-25 vs. 12.3% in QE Sep-24. The slowdown in services exports is likely driven by weaker global growth and trade dynamics. The trend in net services trade surplus remains steady at 4.9% of GDP on a 12M trailing basis. On a four-quarter trailing basis, India's services export market share is tracking higher at 5.1% vs 3.6% in 2019.

Recent changes in US immigration policy: Per its recent proclamation, the US government has raised the H-1B visa fee to US$100,000 for new visa applications, from its earlier range of US$1,500-4,000, so as to restrict the entry of non-immigrant workers. The new regulations are likely to be effective only on new visas on a prospective basis, with the above stated fee to be on a per petition basis (3+3 years). To be sure, India is the largest beneficiary of H-1B visas, accounting for 71% of the approved visas in 2024. The change does not affect existing visa holders or renewals, but could weigh heavily on Indian IT companies that depend on new on-site visas.

Moreover, in October 2025, the US introduced the HIRE Act (Halting International Relocation of Employment), which aims at curbing outsourcing by American companies, by imposing a 25% excise tax on payments made to foreign firms for services consumed in America. Client costs could be inflated as much as 46% if the disallowance of deductions is factored in, significantly affecting revenue streams and operating margins.

Outlook: On the goods side, external demand remains contingent on the trend in global growth, which (per estimates from our global economics team) is likely to hold up (3.1% in 2026 and 3.3% in 2027). In a similar vein, we expect goods exports to largely maintain their current trend, though prolonged high tariff rates could negatively affect this stability. In our base case, we assume the negotiations on the bilateral India-US deal to be completed by 1Q26. Further, in our view continued efforts for export market diversification (stepping up of FTAs with multiple countries) and expansion of product exports (electronic exports are now second highest, up from #7 in 2019) will be pertinent for maximum gains from external demand.

On the services front, the trend in exports remains resilient. While we expect the momentum to be sustained in coming years, we remain watchful of potential headwinds from adverse US policies (such as the HIRE Act and increase in H1-B visa fees) and impact of AI and automation, which may threaten India's services exports.

Exhibit 29: Goods and Services Exports, YoY% 3MMA

Source: CEIC, Haver Analytics, Morgan Stanley Research

Exhibit 30: India's Market Share in Goods and Service Exports

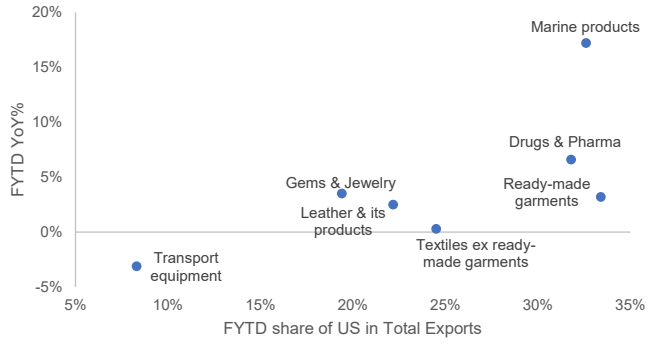
Source: CEIC, Haver Analytics, Morgan Stanley Research

Exhibit 31: Goods Export Trends across Key Commodities

YoY%	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25
Leather and Leather Products	3.9%	6.9%	-0.6%	7.8%	0.1%	-6.1%
Gems and Jewellery	10.7%	-13.9%	-20.4%	28.9%	15.6%	0.4%
Drugs and Pharmaceuticals	2.4%	7.4%	5.9%	14.1%	6.9%	2.6%
Organic and Inorganic Chemicals	-9.1%	16.0%	1.6%	7.2%	3.8%	1.8%
Engineering Goods	11.3%	-0.8%	1.3%	13.8%	4.9%	2.9%
Textiles	7.9%	3.8%	-0.5%	5.1%	-2.9%	-9.8%
Electronic Goods	39.5%	54.1%	46.9%	33.9%	25.9%	50.5%
Exports ex Electronics	**-6.9%**	**-5.8%**	**-5.5%**	**11.6%**	**5.3%**	**3.9%**
Total Exports	**-3.8%**	**-1.2%**	**-1.3%**	**13.5%**	**6.7%**	**6.7%**

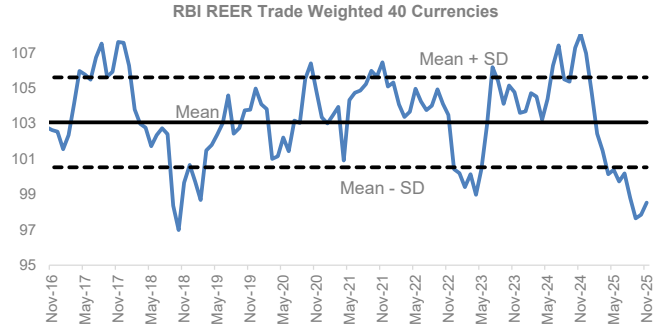
Source: CEIC, Morgan Stanley Research

Exhibit 32: Export Trends by Commodity



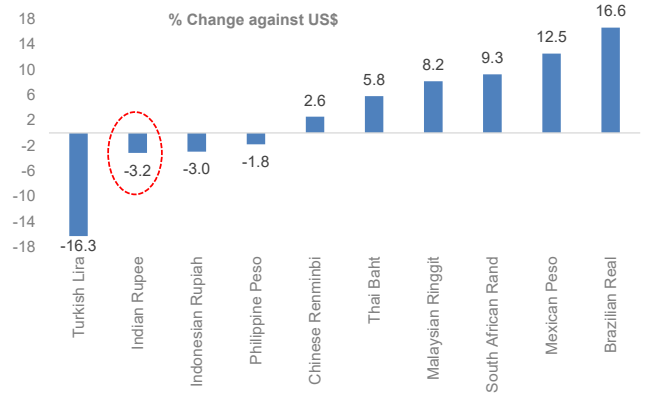
Source: CMIE, Morgan Stanley Research

Exhibit 33: REER Remains Undervalued



Source: CEIC, RBI, Bloomberg, Morgan Stanley Research. Note: REER for Oct-25 and Nov-25 is MSe

Exhibit 34: Tracking CYTD25 Currency Performance



Source: Bloomberg, Morgan Stanley Research

Exhibit 35: Global Growth to Hold Up

GDP, YoY%				
	2024	**2025e**	**2026e**	**2027e**
United States	2.8	2	1.7	2
Euro Area	0.8	1.4	1	1.2
Japan	0.1	1	0.6	1.1
UK	1.1	1.4	0.8	1.6
China	5	5	4.8	4.6
Global	**3.3**	**3.4**	**3.1**	**3.3**

Source: MS Global econ team, Morgan Stanley Research

Exhibit 36: DXY to Remain Range-Bound

FX Forecasts					
	4Q25	**1Q26**	**2Q26**	**3Q26**	**4Q26**
DXY Index	98	96	94	97	99
EUR/USD	1.18	1.2	1.23	1.19	1.16
USD/CNY	7.15	7.15	7.1	7.07	7.05
USD/ INR	88	87.1	86.7	87.6	88.4

Source: MS Global FX strategy team, Morgan Stanley Research

#5: Can policy remain supportive of growth amid external headwinds?

Since early 2025, both monetary and fiscal policy turned supportive of growth. In our view, an important support for growth expansion to be sustained is a well-calibrated policy response, which helps to maintain a healthy trend in growth alongside benign macro stability.

Monetary policy unwound its tightness, by easing across all its levers – i.e,, rates, liquidity and macroprudential regulations – to ensure congenial financial conditions. In a span of five months between February and June 2025, policy rate has been eased 100bps. In 2025, INR 9.5tn in liquidity has been injected into the banking system, including the ongoing phased CRR cut (from 4% to 3%). The intent of maintaining surplus liquidity conditions is to allow broad-based policy transmission across financial markets.

Moreover, the slew of regulatory reforms reinstates the emphasis on strengthening the financial system by making it more resilient and competitive, so as to improve flow of credit and deepen financial markets. The regulations incorporate measures to protect both consumers and businesses and therefore are credit- and growth-accretive. Comments and feedback on draft regulations have been invited from banks and market participants. However, the RBI hasn't provided a definite timeline for the respective draft guidelines and implementation, as yet. In our view, most of these changes are likely to come into effect in F2027.

In this context, the continued monetary policy impulse from lower risk weights and liberalised lending norms is likely to stimulate capital formation and thus in turn boost growth in F2027, through direct and indirect linkages of the multiplier effect.

Fiscal policy has balanced maintaining fiscal consolidation alongside measures to support domestic demand. While the budget continued to prioritize capex (BE for effective capital expenditure at 14.6% YoY), the government also took steps to support consumption. The reduction in direct taxes in budget F2026 (0.3% of GDP) has been supplemented with the cuts in GST rates across the board (~0.5% of GDP), which is improving demand conditions.

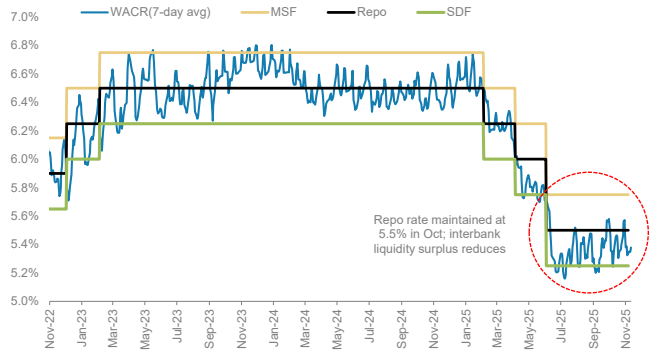
Outlook: In terms of the central bank's reaction function, we expect the RBI to ease rates 25bp in the Dec-25 policy meeting, with a terminal policy rate of 5.25%, led by continued downside surprises to headline CPI. Thereafter, we anticipate that the RBI will remain data-dependent in a 'wait & watch' mode, so as to assess the transmission and impact of its three-pronged policy easing, while also evaluating the evolving domestic growth-inflation dynamics.

On the fiscal policy front, we expect the government to maintain its fiscal pragmatism, with an emphasis on improving its spending mix in favour of capital creation and improving tax buoyancy. As announced in the Budget for F2026, the guidance by the FM with regard to trajectory of fiscal metrics suggests a desire to "*keep the fiscal deficit each year such that the Central Government debt remains on a declining path as a percentage of the GDP*." Thus, the government remains steadfast in ensuring sustainable debt management, as it transitions from deficit to debt as its key fiscal metric, in line with global best practices. As such, over the medium term, the government aims to align the Central Government Debt to 50% (plus or minus 1ppt) by F2031.

The government's resolve to ensure sustainable debt levels over the medium term is not only essential for its long-term macroeconomic stability, but has also played a significant role in strengthening the country's fiscal credibility. While improvement in the overall growth trend alongside administrative policy measures is helping to improve the tax collections, and this is likely to be sustained, we remain watchful of fiscal profligacy at the state level, amid rapidly increasing redistributive spending.

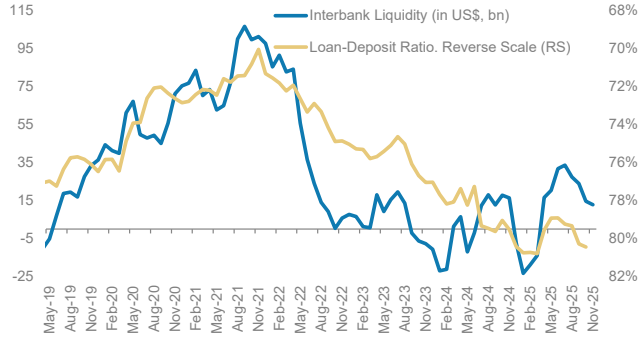
In our base case, we assume the ongoing India-US trade negotiations culminate into a trade deal with a meaningfully lower tariff rate by Mach 2026. In fact, the recent newsflow on President Trump suggesting a trade deal between India and the US soon further underscores abating global headwinds for India's external demands. However, in the event of prolonged 50% punitive tariffs beyond the March 2026 timeline, or further worsening of global geopolitics, there could be some repercussions on India's growth. In that scenario, we expect both the monetary and fiscal policy to lend further support to offset the adverse impact of exacerbated external headwinds. The monetary policy has ammunition in its artillery to ease rates further and inject more durable liquidity, against the backdrop of a benign trend in inflation. On the fiscal policy front, the government could aim to pause its fiscal consolidation process and curtail its revenue spending. Thus, in our view, policy support can be stepped up to mitigate the downside risks, if any.

Exhibit 37: Tracking Policy Rates



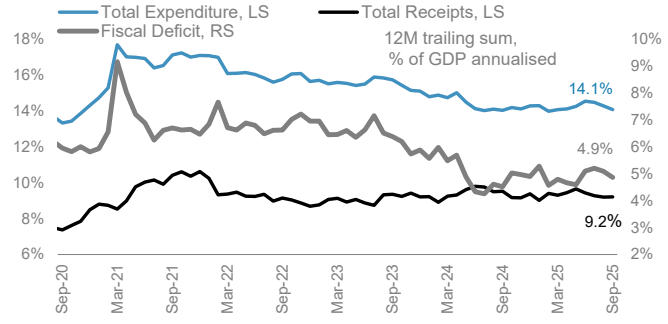
Source: CEIC, Morgan Stanley Research

Exhibit 38: Interbank Liquidity vs. Loan Deposit Ratio



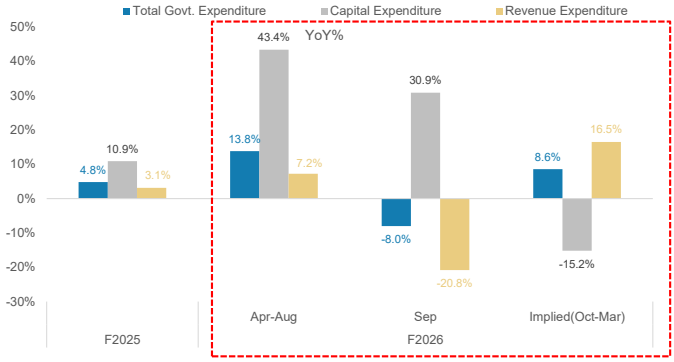
Source: CEIC, Bloomberg, Morgan Stanley Research

Exhibit 39: Tracking Fiscal Indicators



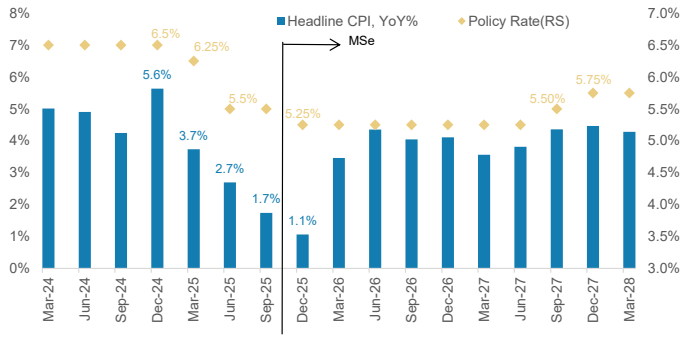
Source: CEIC, Morgan Stanley Research

Exhibit 40: Implied Government Spending for 2HF26



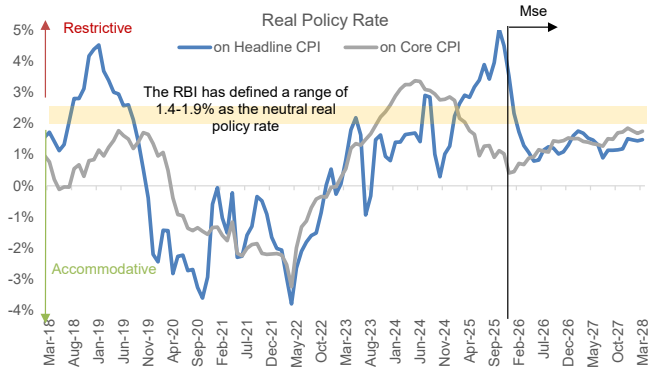
Source: CEIC, Budget Documents, Morgan Stanley Research

Exhibit 41: We Expect a 25bps Rate Cut in December 2025 and a Rate Hike Cycle to Resume in 3Q27



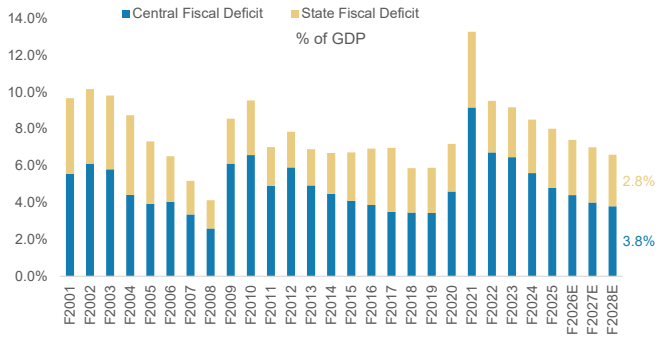
Source: CEIC, Morgan Stanley Research, Morgan Stanley Research Estimates

Exhibit 42: Tracking Real Policy Rates



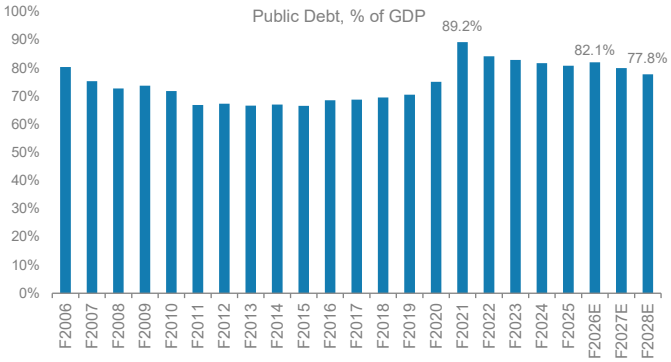
Source: CEIC, Morgan Stanley Research, Morgan Stanley Research Estimates

Exhibit 43: Fiscal Consolidation to Continue



Source: CEIC, Budget Documents, Morgan Stanley Research, Morgan Stanley Research Estimates

Exhibit 44: Public debt, % of GDP



Source: CEIC, Budget Documents, Morgan Stanley Research, Morgan Stanley Research Estimates

#6: What are the next-gen reforms that can trigger further improvement in the medium term?

Over the past decade, the government has undertaken several supply-side reforms aimed at enhancing productivity, fostering investment, and improving the ease of doing business. The key landmark reforms have been:

1. Simplification of the tax regime, in the form of GST and corporate tax rate reduction,
2. Insolvency and Bankruptcy Code (IBC) for resolution of stressed assets,
3. Increase in digitisation and financial penetration via the Digital India scheme,
4. Production Linked Incentive Scheme to improve domestic manufacturing capabilities, and
5. National Infra Pipeline and Gati Shakti to focus on infra development.

Focus on prioritizing the structural reform momentum has been the cornerstone of the government's development strategy of Aatmanirbhar and Viksit Bharat, to make India a developed country by 2047. In this context, in August 2025, a "Reform Task Force" and two High Level Committees (HLC) were constituted under the aegis of Niti Aayog, wherein the ministries have been asked out lay out key "institutional and regulatory reform" goals, "five-year action plans" and "big-ticket projects" with the timeline and status of identified deliverables.

Next-generation growth for India hinges on deep structural reforms – shifting from incremental fixes to systemic modernization of factor markets, state capacity, and innovation ecosystems. The goal should be to create a flexible, efficient, and resilient economy capable of sustaining a high real growth of 8%-plus over the medium term. In our view, the following structural reforms are significant, to achieve next-generation growth for India:

Factor market reforms: The fragmented factor markets lead to inefficiencies that stifle investment and productivity. As such, it remains pivotal for India to advance reforms in its factor markets.

1. Land: Complete digitization of land should be enabled to create a unified database. Moreover, procedures around land acquisition, ownership, and use should be streamlined to increase flexibility and facilitate efficient allocation of land.

2. Labour: Operationalization and adoption of the labour codes, with emphasis on simplification and compliance automation. There needs to be sustained collaboration among all stakeholders to ensure the benefits of welfare schemes across the workforce.

3. Capital: Measures to deepen financial markets should be undertaken, via improved access to both bank and non-bank sources of funds, so as to improving accessibility and affordability. Moreover, other banking sector reforms – such as privatising select public sector banks, remain fundamental. Simplification of IPO, FPO, and SME listing procedures and aligning taxation across debt and equity instruments are pivotal to ensure ease of raising capital.

These measures aim to contribute towards greater ease of doing business, enhance total factor productivity, reduce logistics costs, and facilitate sustained and inclusive growth

Agricultural reforms: With ~46% of India's labour force dependent on agriculture as a means of livelihood, agri-related reforms remain crucial. They should focus on raising farmer incomes and sector efficiency by liberalising produce sales outside government-regulated markets, promoting contract farming, investing in supply chain infrastructure like cold storage and warehousing, and encouraging technology adoption. Measures to diversify towards other high-value crops and towards ancillary agro-processing industries also remain significant. Improvements in institutional support and credit access, alongside better market linkages, are intended to drive productivity, and make agriculture more resilient and competitive.

Improving human capital productivity: Another critical area of focus for the government over the medium term needs to be set on augmenting human capital productivity by following a multi-pronged approach that integrates education, skill development, and health. In this context, India should continue to prioritise workforce skilling by expanding vocational training, fostering public-private partnerships, and integrating digital and soft skills into education. so as to completely leverage its demographic dividend. Partnerships with industry for apprenticeships should be adopted at a greater scale, similar to the dual system followed in Germany, so as to boost employability. Setting up a *national labour mobility platform* can help eliminate the demand supply mismatch across skills and industries. Similarly, facilitating equitable, accessible and quality healthcare across the nation also remains paramount. The government should maintain its emphasis on capacity building by ironing out supply-side constraints through its focus on augmenting healthcare infrastructure, along with private sector support.

Single-window clearance: India should aim at unifying central and state-level approvals across all ministries and departments into a seamless digital portal with real-time dashboards. This would eliminate fragmented processes and reduce manual interventions, to expedite decision-making and ensure time-bound and transparent workflows. The lower administrative and compliance costs, will be fundamental in bringing down logistics costs for India, on par with other EMs.

R&D and AI adoption: India's R&D spending remains below 1% of GDP, far behind global leaders like China, South Korea, and the US. Increasing investment in R&D and AI is crucial for India to compete globally, drive productivity, and transition from a lower-middle-income to a high-income economy. Therefore, the government must facilitate a collaborative ecosystem between public institutions, private enterprises and academia, with increasing focus on the emerging domains such as AI, quantum computing, green technologies, etc. Expanding funding, establishing innovation hubs especially in tier 2 cities, etc. could emerge as catalysts for measurable improvements in efficiency, quality, and outcomes across sectors.

Judiciary and contract enforcement: Judicial reforms are imperative to address backlogs and provide efficient and time-bound dispute redressal. In this regard, increasing judicial capacity, digitizing case management, and modernising court infrastructure (with e-filings, virtual hearings), are some key reforms, alongside centre-state coordination, to harmonize state-level implementation. Targeted interventions should ensure smoother contract enforcement, which is essential for sustained foreign direct investments.

Institutional strengthening and policy coherence: The focus of institutional reforms should be to streamline governance structures, reduce regulatory overlap, and promote

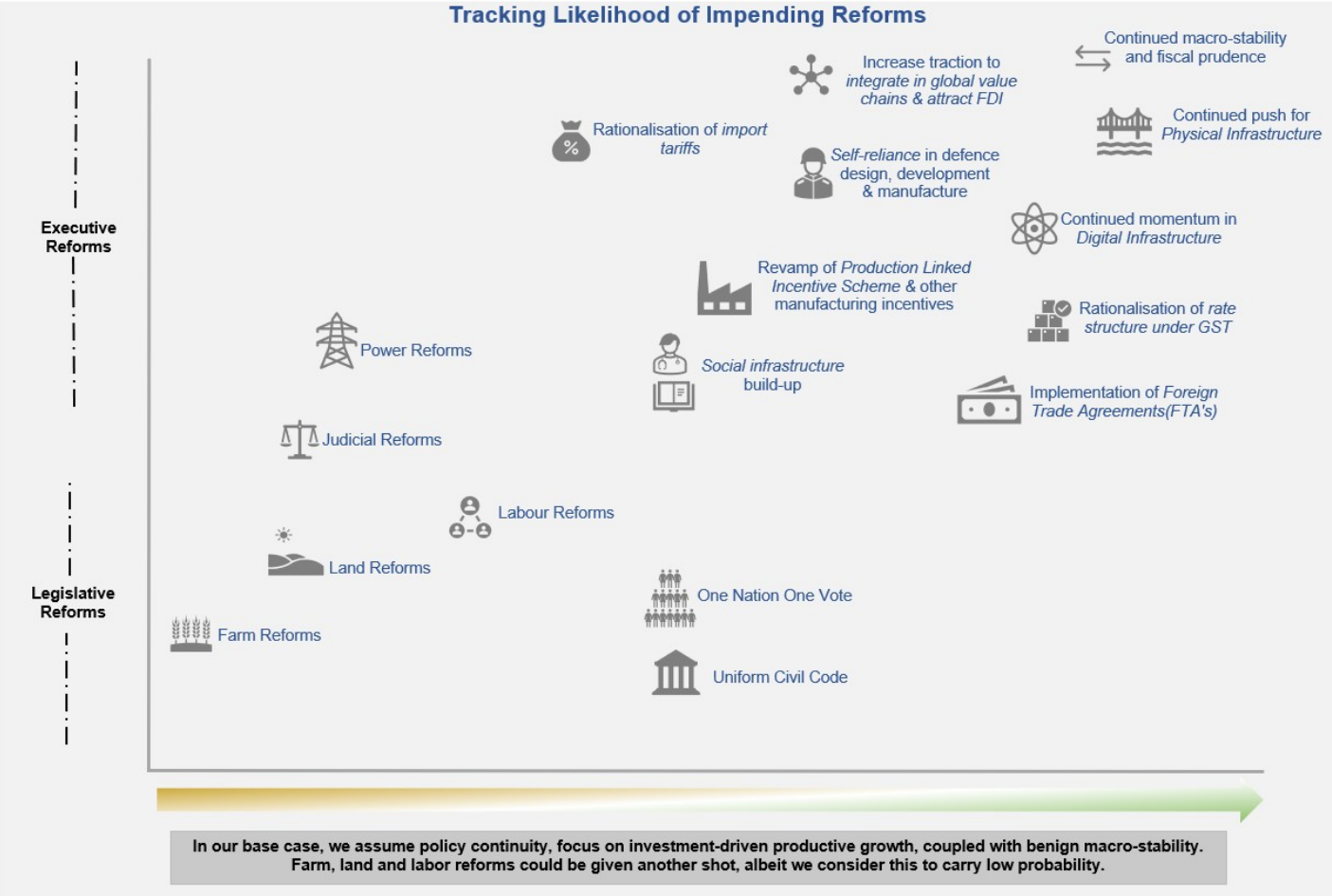
outcome-based assessments, to enable an efficient administrative ecosystem. In addition, achieving policy coherence demands seamless integration across economic, fiscal, social and environmental domains, to ensure stability and confidence. As such, setting up a National Policy Coordination Council with real-time dashboards for cross-ministerial alignment could minimise implementation gaps and improve productivity.

Exhibit 45: The Government Stepped Up Its Reform Momentum over the Past Decade

Measure	Objective and Impact
Employment Linked Incentive Scheme	As part of the Prime Minister's package, measures to facilitate employment and skilling opportunities for ~41mn with an outlay of INR 2tn over a 5 year time period have been announced. These entail 3 schemes for 'Employment Linked Incentive', focused on providing simultaneous support to both employers and employees and additional schemes to encourage skilling
Push to Infrastructure and Investment	A budget allocation of INR 10tn(3.3% of GDP) towards capex is likely to improve the quality of spending and crowd in private capex.
	50-year interest free loans to State governments to continue to incentivise infrastructure investment
	Encourage ease of doing business by reducing 39,000 compliances and decriminalizing more than 3,400 legal provisions
Production Linked Incentive	Boost large scale domestic manufacturing of goods to bring about import substitution and increase global market penetration. It has been approved for all 14 sectors by the Cabinet.
Direct Benefit Transfers	To facilitate transparency, accurate targeting of beneficiaries and terminate pilferage from distribution of funds, benefit or subsidy is directly transferred to citizens living below poverty line.
Direct Benefit Transfer : e-RUPI	e-RUPI are non-transferable prepaid vouchers that will be delivered to the mobile phones of the beneficiaries in an SMS string or a QR code. These will not require beneficiaries to have a bank account, thus ensuring access to welfare benefits for the unbanked population
Tax	To give the Make in India policy of the government a boost, the **corporate tax rate** was reduced from 25% to 15% for new manufacturing firms, bringing the corporate tax for India broadly at par with the average tax rate of 23% for Asian countries.
	Goods and Services Tax was introduced in 2016, with the objective of simplifying the tax system by subsuming all indirect taxes and establishing "One Nation One Tax". It helps avoid cascading of taxes and is easy to administer.
	Abolition of the retrospective tax entails that no tax demand shall be raised on the basis of a retrospective amendment for any indirect transfer of Indian assets for a transaction before 28.05.2012
National Asset Monetization Plan	National Monetisation Pipeline to monetize core assets of the central government over a four-year period, from F2022-25. The Pipeline is expected to realise potential funds worth INR6tn through capital recycling of about ~20 infrastructural sub-sectors, with the top 5 sectors encompassing ~83% of the aggregate value and the share of roads being the highest at 27% of the total
Gati Shakti	With an allocation of INR 100 tn, Gati Shakti master plan aims at bringing about coordination for the planning of all infrastructure connectivity projects announced under the national infrastructure pipeline. It aims at minimising delays between the government stakeholders by focusing on ending inter-ministerial silos.
Insolvency and Bankruptcy Code	Insolvency and Bankruptcy Code, 2016 considered one of the biggest insolvency reforms in the economic history of India, was enacted for reorganization and insolvency resolution of corporate persons, partnership firms and individuals in a time bound manner for maximization of the value of assets of such persons.
National Asset Reconstruction Company Limited (NARCL)	The central government has approved a guarantee of INR306bn to back security receipts issued by NARCL or "bad bank" for acquiring stressed loan assets.The guarantee by the government will help provide contingency buffers, impart credibility, and enhance liquidity (the security receipts are tradable).
Inflation Targeting & Monetary Policy Committee	The RBI adopted the flexible inflation targeting framework in 2016, with the primary objective of ensuring price stability i.e keeping inflation at 4% with a tolerance of +/- 2% while also focusing on economic growth. Further, rate decision are now taken by monetary policy committee which consists of external and internal (RBI) members.

Source: GoI, Morgan Stanley Research

Exhibit 46: Reforms that Are Likely to be Undertaken over the Coming Years



Source: Morgan Stanley Research

Risks to Our Outlook

Risks remain balanced:

In our view, risks to our growth outlook remain evenly balanced, and are primarily external in nature. On the upside, stronger than anticipated multiplier impact on domestic demand from supportive monetary and fiscal policy outlook, acceleration in US growth, and a faster resolution of trade- and tariff-related uncertainty, could help improve investor sentiment and therefore push growth higher relative to our base case.

Downside risks could emanate from adverse global growth and trade with repercussions on weaker domestic risk appetite and manufacturing capex, exacerbated geopolitical developments, prolonged uncertainty on the trade and tariff front, and US policy proposals on the HIRE Act, which may impact India's services exports.

Key events to track in 2026:

Domestic:

- Union Budget for F2027 *(1 Feb 2026)*
- Change in base year for key macroeconomic data such as GDP, inflation and IIP *(Feb-Mar 2026)*
- Flexible Inflation Targeting Regime guidelines and framework for F2027-32 *(Mar 2026)*
- 16th Finance Commission proposals for distribution of financial resources between the Centre & State *(Apr 2026)*
- State Elections for Assam, Kerala, Tamil Nadu and West Bengal *(Apr-May 2026)*

External:

- Negotiations on India-US trade and tariffs for implications for India's goods exports
- Final proposals of US policies on HIRE Act, etc, for implications for India's service exports

Key Macro Forecasts

Exhibit 47: Key Macroeconomic Forecasts

Year Ending March 31	F2015	F2016	F2017	F2018	F2019	F2020	F2021	F2022	F2023	F2024	F2025	F2026E	F2027E	F2028E
National Income														
Nominal GDP (INR Bn)	124680	137719	153917	170900	188997	201036	198541	235974	268905	301230	330570	357128	395129	437487
GDP (US$ bn)	2039	2105	2296	2651	2703	2835	2675	3168	3348	3639	3910	4100	4507	4949
Growth rates														
GVA - By Industry														
GVA (F2012=100)	7.2%	8.0%	8.0%	6.2%	5.8%	3.9%	-4.1%	9.4%	7.2%	8.6%	6.4%	6.7%	6.3%	6.3%
Agriculture and Allied activities (inc. mining)	1.2%	2.1%	7.3%	4.5%	1.6%	4.8%	2.3%	4.8%	5.9%	2.7%	4.4%	2.7%	3.3%	3.1%
Manufacturing, Construction, Electricity	6.7%	9.5%	7.5%	7.1%	5.9%	-1.3%	0.2%	12.7%	2.4%	11.4%	6.1%	6.0%	6.2%	6.3%
Services	9.8%	9.4%	8.5%	6.3%	7.2%	6.4%	-8.4%	9.2%	10.3%	9.0%	7.2%	8.3%	7.2%	7.2%
GDP- By Expenditure														
GDP (F2012=100)	7.4%	8.0%	8.3%	6.8%	6.5%	3.9%	-5.8%	9.7%	7.6%	9.2%	6.5%	6.8%	6.5%	6.5%
Interest rates														
Repo Rate (year-end)	7.50%	6.75%	6.25%	6.00%	6.25%	4.00%	4.00%	4.00%	6.50%	6.50%	6.25%	5.25%	5.25%	5.75%
Prices														
Consumer price index (avg y-y increase)	6.0%	4.9%	4.5%	3.6%	3.4%	4.8%	6.2%	5.5%	6.7%	5.4%	4.6%	2.2%	4.0%	4.2%
Wholesale price index (avg y-y increase)	1.3%	-3.6%	1.8%	3.0%	4.3%	1.7%	1.3%	13.0%	9.6%	-0.7%	2.3%	0.5%	3.5%	4.0%
External sector														
Current account														
Exports (US$ bn)	317	266	280	309	337	320	296	429	456	441	442	429	434	449
Imports (US$ bn)	461	396	393	469	518	478	398	619	721	686	729	741	785	832
Trade balance (US$ bn)	-145	-130	-112	-160	-180	-158	-102	-189	-265	-245	-287	-312	-351	-383
Invisibles, net (US$ bn)	118	108	98	111	123	133	126	151	198	219	264	273	302	335
Current account balance (US$ bn)	-27	-22	-14	-49	-57	-25	24	-39	-67	-26	-23	-38	-49	-47
Current account Balance (as % of GDP)	-1.3%	-1.1%	-0.6%	-1.8%	-2.1%	-0.9%	0.9%	-1.2%	-2.0%	-0.7%	-0.6%	-0.9%	-1.1%	-1.0%
Capital account														
Total capital (net) (US$ bn)	89	41	36	91	54	83	64	86	59	81	17	66	107	109
Total capital (net) (as % of GDP)	4.4%	2.0%	1.6%	3.4%	2.0%	2.9%	2.4%	2.7%	1.8%	2.2%	0.4%	1.6%	2.4%	2.2%
-Net FDI	31	36	36	30	31	43	44	39	28	10	1	29	42	42
Debt creating capital inflows (US$ bn)	16	9	-7	39	24	39	-16	64	36	35	12	32	48	47
External debt														
External debt (US$ bn)	475	485	471	529	543	558	574	619	624	669	736	773	827	881
External debt (as % of GDP)	23.3%	23.0%	20.5%	20.0%	20.1%	19.7%	21.4%	19.5%	18.6%	18.4%	18.8%	18.9%	18.3%	17.8%
Fiscal deficit (As % of GDP)														
-Central government	4.1%	3.9%	3.5%	3.5%	3.4%	4.6%	9.2%	6.8%	6.4%	5.6%	4.8%	4.4%	4.0%	3.8%
-State government	2.6%	3.1%	3.5%	2.4%	2.5%	2.6%	4.1%	2.8%	2.7%	2.9%	3.2%	3.0%	3.0%	2.8%
-Consolidated Deficit	6.7%	6.9%	6.9%	5.8%	5.8%	7.2%	13.3%	9.6%	9.1%	8.5%	8.0%	7.4%	7.0%	6.6%

Source: CEIC, Morgan Stanley Research Estimates

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